ShopSmart Retail Ltd: Business Report

AnalystLab Africa Experience Lab | Week 1, Data Analytics Track | Prepared by Divine Okezie Nwaoha, Junior Data Analyst

Summary. From 16,529 Completed orders, ShopSmart earned ₦2,496,824,383 across 25 stores and 5,000 customers, with an average order value of ₦151,057, and its stock on hand is valued at ₦3,169,020,818 at cost price. Sales are healthy and evenly spread, but returns (4.83%) and low stock (21 products) need attention.

Three key findings

1. **Beauty and Groceries lead sales.** Beauty earned ₦580,991,275 (23.3% of revenue) and Groceries ₦514,246,070 (20.6%). Home is the smallest at ₦433,448,943 (17.4%). The best single product is Beauty Item 210 at ₦8,075,117.
2. **Sales are evenly spread across stores, regions and months.** Store revenue ranges from ₦90.4M (Kano, STR002) to ₦113.4M (Lagos, STR003). The South leads regions at 32.3% of sales, but it has 8 of the 25 stores; revenue per store is similar in every region (about ₦97M to ₦101M). December is the peak month (₦224.7M) and February the lowest (₦189.8M).
3. **Returns are modest but uneven.** 798 of 16,529 Completed orders were returned (4.83%). Electronics (5.28%) and Beauty (5.09%) are above average; Groceries is lowest (4.47%). Groceries Item 304 is the most returned product (7 returns).

Three recommendations

1. **Invest in Beauty and Groceries.** Beauty has the highest revenue; Groceries has the second-highest revenue and the lowest return rate. Prioritise range, promotions and shelf space in these two categories.
2. **Reduce returns in Electronics and Beauty.** Review the return reasons for these categories and for the most returned products, and tighten quality checks and product descriptions. Bringing both to the 4.83% average would cut returns.
3. **Restock low-stock products before the peak season.** 21 products across 14 stores are at or below their reorder level. Start with STR006 Kaduna and STR014 Port Harcourt (3 each), and have stock in place before October to December.

Risk and opportunity

Risk: Beauty is the top category but returns 5.09% of orders, above average. If returns keep rising in the category that earns the most, they reduce the value of ShopSmart's best sales. Low stock ahead of the October to December peak adds a risk of lost sales.

Opportunity: The West has only 4 stores (16% of the network) and 15.6% of sales, yet each store earns about ₦97M, close to the other regions. This suggests room to grow by opening or supporting more stores in the West. The weaker months (February and June) are also a chance for targeted promotions.

Basis of figures. *All figures use Completed orders only (Cancelled and Pending excluded). Revenue is Quantity × Unit Price − Discount, in naira, excluding shipping. Return Rate is Completed orders that were returned divided by Completed orders. Regional and store comparisons are descriptive; the Region column describes the store's location.*